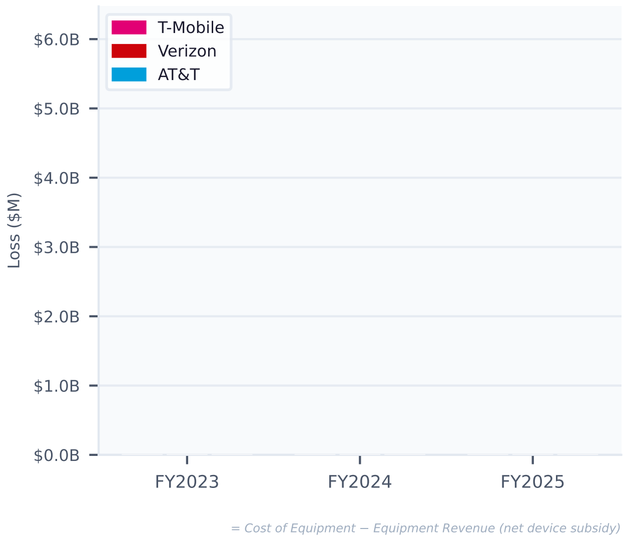
but by converting each dollar of equipment loss into 4–6x more net subscribers than Verizon.

Metric	T-Mobile	Verizon	AT&T	SIGINT Take
Equipment Gross Loss (FY2025)	5.3*B*(**▲0.9B YoY)**	3.5*B*(**▲0.6B YoY)**	~4.0*B*(**▲0.8B YoY)** [1]	**All 3 escalated in 2025. TMUS absolute leader.**
Equipment Loss as % of Service Revenue	**7.4%**	**4.2%**	**~5.9%** [1]	**TMUS subsidizes most intensely relative to svc rev.**
Postpaid Phone Net Adds (FY2025, annual)	**3,294K (#1)**	**362K (#3)** [2]	**1,551K (#2)**	**TMUS adds 9.1x more subs than VZ per $1B spent.**
VZ Quarterly Net Adds Breakdown (FY2025)	**—**	**Q1–Q3: −414K | Q4: +616K**	**—**	**VZ lost phones 9 months, then surged in Q4 on heavy promos.**
Subsidy Cost per Net Phone Add	**$1,611 (BEST)**	**$9,685 (WORST)**	**~$2,580 (MID)**	**VZ spends 6x more per net add — primarily on upgrades.**
Service EBITDA Margin [2] (FY2025)	**55.0%**	**63.9% (BEST)**	**51.3%**	**VZ has best underlying svc economics despite large sub base.**
Net Leverage (Net Debt / EBITDA)	**2.38x (BEST)**	**2.78x (WORST)**	**2.46x**	**TMUS cleanest balance sheet; VZ stretched post-Frontier.**
Adj. Free Cash Flow (FY2025)	**$18.0B (▲ 32% since FY23)**	**$20.1B (steady)**	**~$19.4B (▼ 5% from FY23)**	**TMUS FCF trajectory is strongest in the group.**
Postpaid Phone Churn (FY2025)	**0.93%**	**0.92%**	**0.90% (BEST)**	**AT&T wins retention — subsidy is keeping them sticky.**

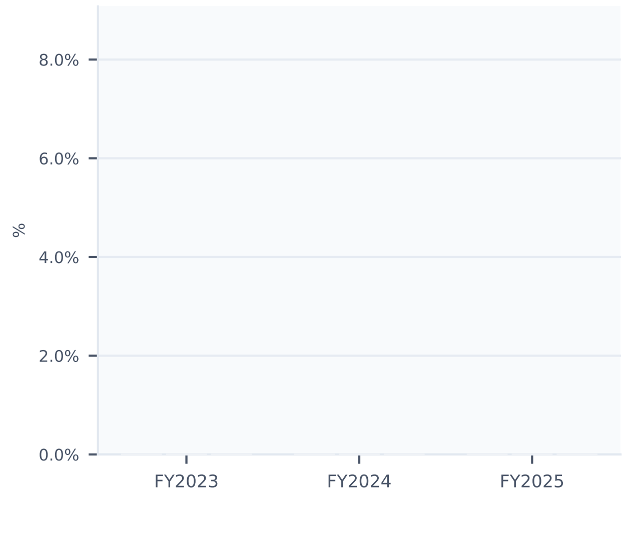
[1] AT&T does not separately disclose cost of equipment in 10-K; estimated at ~15% gross loss on equipment revenue, consistent with industry peers.
[2] VZ annual net adds of 362K masks severe intra-year volatility: Consumer segment lost 414K postpaid phones in Q1–Q3 2025, then recovered with 616K Q4 net adds (Consumer + Business combined), driven by Black Friday promotions and iPhone upgrade cycle. This reactive pattern is central to the subsidy efficiency debate.
[3] Service EBITDA Margin = (Adj. EBITDA + Equipment Gross Loss) / Wireless Service Revenue — reflects true profitability of service operations before device economics.

Device Economics, Gross Loss Trends & Subscriber Conversion Efficiency

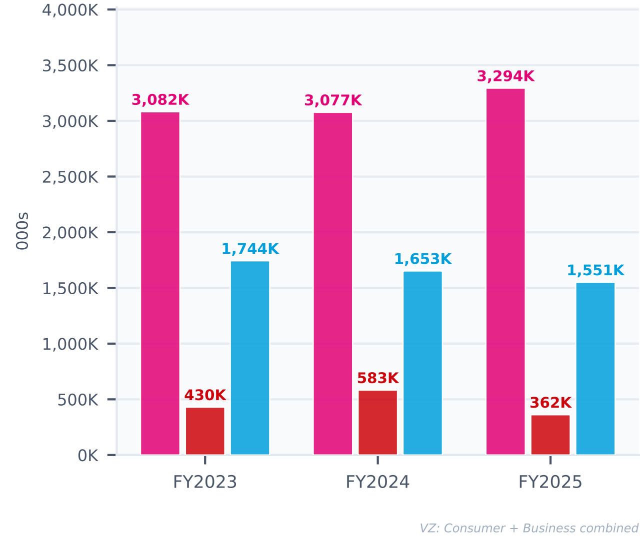
Equipment Gross Loss ($M)



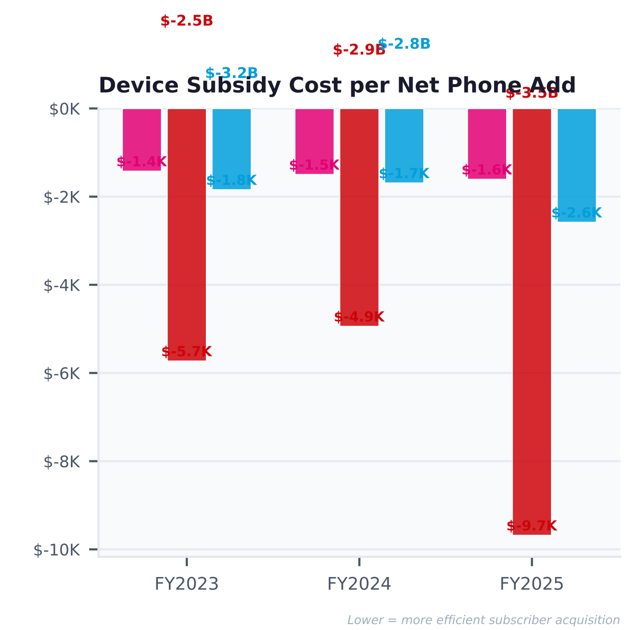
Equipment Loss as % of Service Revenue



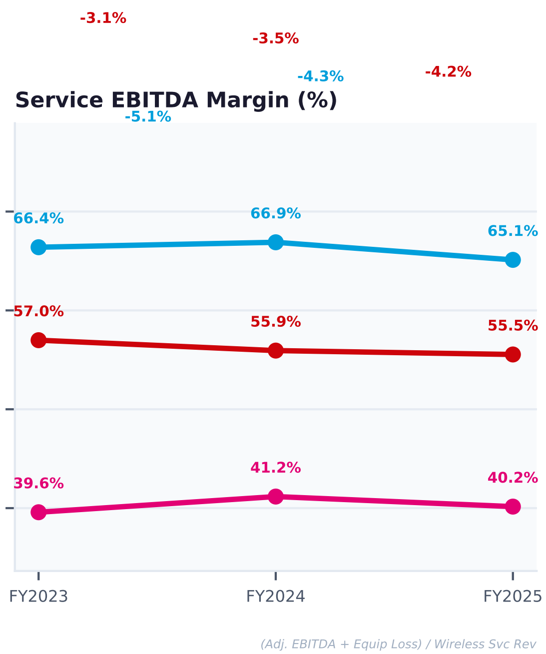
Postpaid Phone Net Adds (000s)



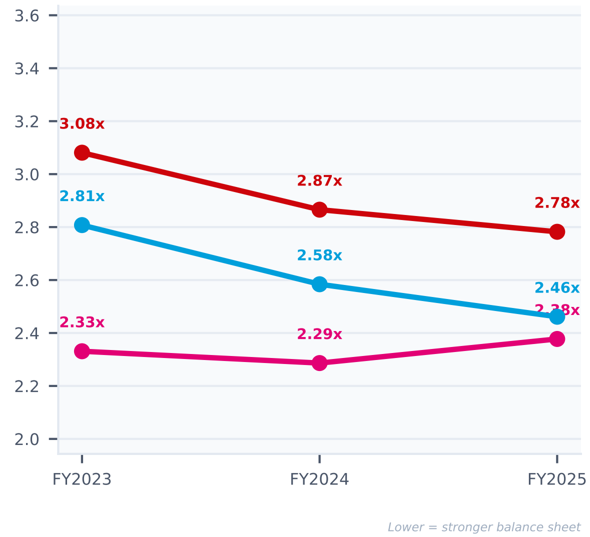
Device Subsidy Cost per Net Phone Add



Service EBITDA Margin (%)



Net Leverage (Net Debt / EBITDA)



2025 Equipment Loss
$5.3B
TMUS — highest absolute

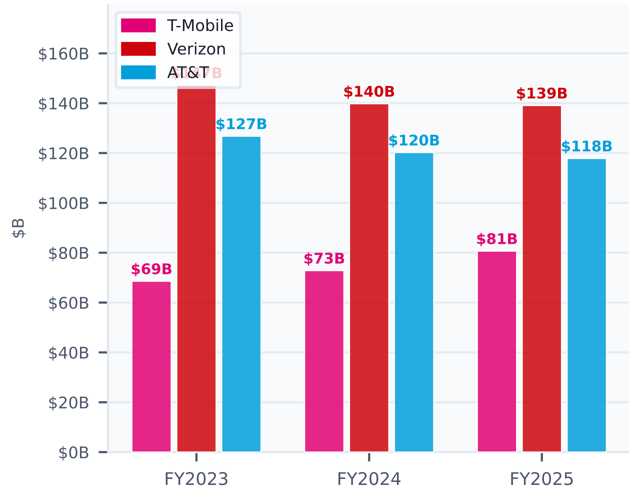
Best Subsidy Efficiency
$1,611/add
T-Mobile wins decisively

Best Service Margin
63.9%
Verizon — premium economics

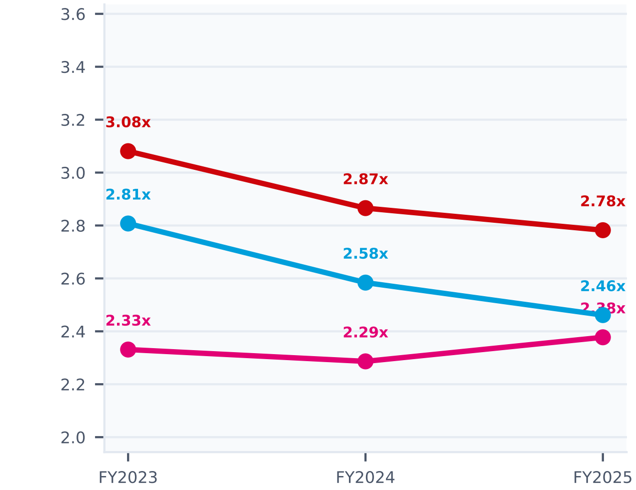
Cleanest Balance Sheet
2.38x
T-Mobile leads on leverage

Net Debt, Free Cash Flow & Capacity to Sustain or Escalate Device Subsidies

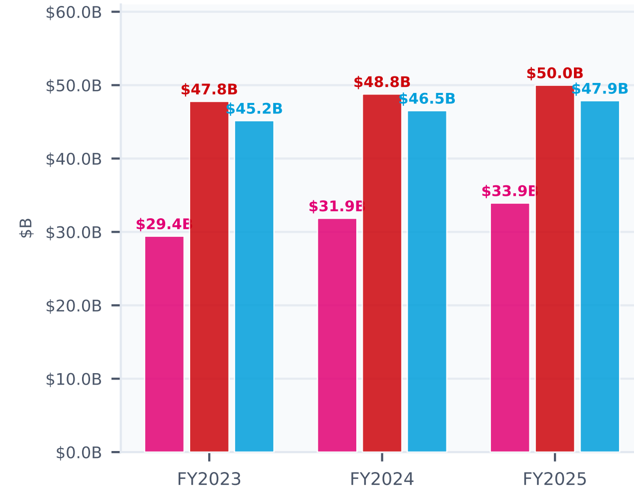
Net Debt ($B)



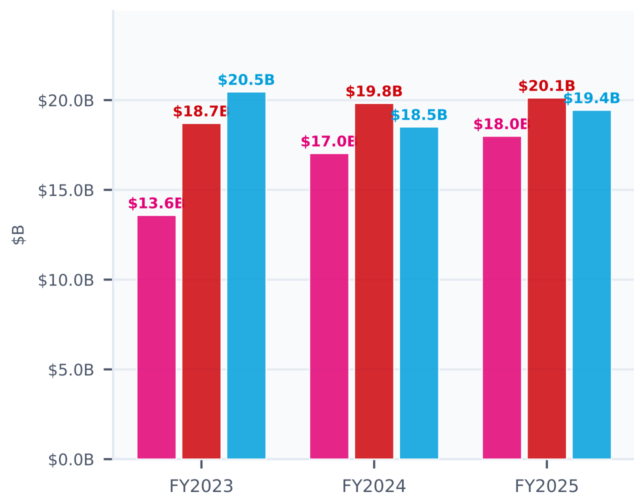
Net Leverage (Net Debt / EBITDA)



Adjusted EBITDA ($B)

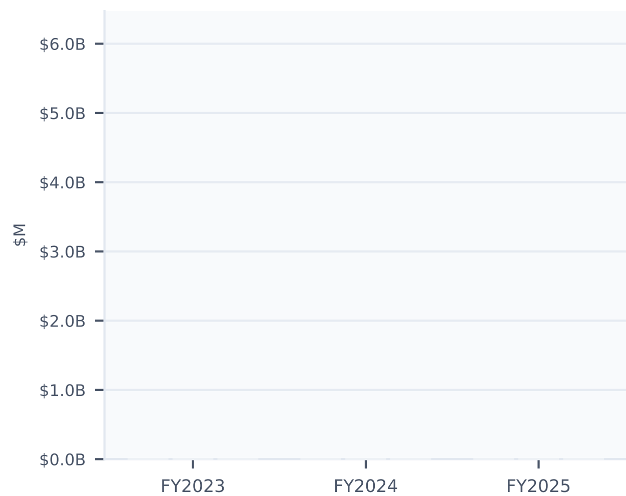


Free Cash Flow ($B)



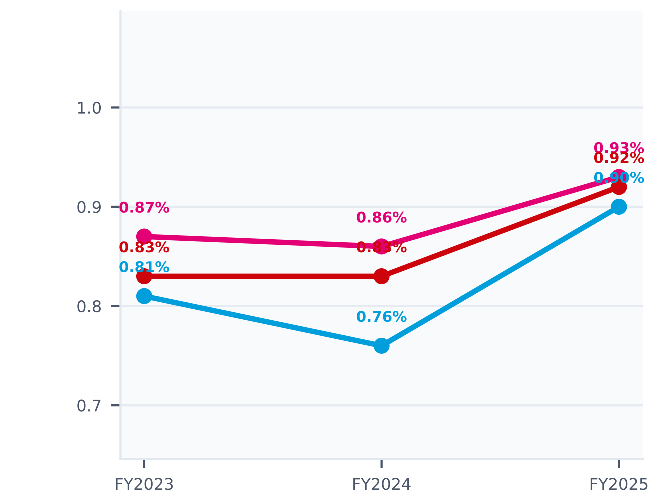
TMUS: Adj FCF | VZ: Reported FCF | AT&T: OCF − CapEx

Equipment Gross Loss vs FCF ($M)



Subsidy as % of FCF: TMUS 29% | VZ 17% | AT&T ~21%

Postpaid Phone Churn (%)



Churn = cost of failed retention / re-acquisition

SIGINT BALANCE SHEET RANKING — Who Can Sustain More Subsidy?

#1 T-MOBILE (TMUS) · 2.38x leverage · 18.0B FCF · Equip loss = 29% of FCF · Best headroom to escalate promotions without rating impact

#2 AT&T (T) · 2.46x leverage · 19.4B FCF · Equip loss = ~21% of FCF · Steady improvement; FirstNet windfall + fiber build moderates risk · Large pension liabilities remain the hidden constraint

#3 VERIZON (VZ) · 2.78x leverage · 20.1B FCF · Equip loss = 17% of FCF · Frontier acquisition (28.5B) stretched balance sheet · Strongest FCF but least room to further escalate subsidy spend without credit pressure

THE VERGE ROUNDTABLE — "WHO'S REALLY WINNING THE DEVICE SUBSIDY WAR?"

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PART I — SETTING THE STAGE

ALEX: Let's start with the basics. Every carrier is dangling a free phone at you right now. Samsung Galaxy S25, iPhone 16 — carriers are practically giving them away. I want to know who is actually winning this spending contest, and who is writing checks they can't cash. Marcus, you cover T-Mobile. Make the case.

MARCUS: I'll make it simply. In 2025, T-Mobile's equipment gross loss — the real, net cost of subsidizing devices after recovering what customers pay — was $5.3 billion. That sounds like a lot of money. It is a lot of money. But for that $5.3 billion, they acquired 3.3 million net new postpaid phone subscribers. The math is $1,611 per net new phone customer. Now ask Diana what Verizon paid per net add.

DIANA: I'll answer that because the framing is wrong. Verizon's net phone additions were 362,000 in 2025, and their equipment loss was 3.5*billion—whichyourmathcalls*9,685 per add. But that is an entirely misleading number. Verizon's device subsidy is not primarily an acquisition weapon. Eighty percent of that spend is targeted upgrade offers for existing postpaid accounts — customers already paying $147 per month in ARPA. Verizon is protecting the most lucrative customer base in U.S. wireless. You don't measure retention spend by new customer count.

MARCUS: Diana, with respect, that distinction has been the Verizon investor talking point for five years. Meanwhile, T-Mobile grew postpaid phone subscribers from 71 million to 78 million between 2022 and 2025 — largely at Verizon's expense. Those are real people who switched. That's real ARPU walking out the door.

PART II — THE BALANCE SHEET QUESTION

Verizon's Consumer segment lost 414,000 postpaid phone subscribers in the first three quarters of 2025. That is not retention. That is a bleed. They then spent their way to 616,000 net adds in Q4 alone — Black Friday, iPhone deals, the works — to rescue the annual number to a positive 362,000. So the strategy Diana is defending produced nine months of subscriber losses followed by a panic promotion in Q4. That is not a disciplined premium retention posture. That is reactive spending to cover a bad year.

DIANA: My ranking: Verizon first, T-Mobile second, AT&T third — but the question is wrong. "Efficiency" depends entirely on what you're optimizing. If your goal is market share at any cost, T-Mobile wins. If your goal is long-term service revenue per customer, Verizon wins. And Marcus — the Q4 recovery you are calling "panic spending" added 616,000 postpaid phone customers in a single quarter. That is more than AT&T did in all of Q3 and Q4 combined. You don't panic your way to 616,000 net adds. You execute. The Q1–Q3 softness was a deliberate pull-back on unprofitable promotions earlier in the year. Verizon chose margin over volume for three quarters, then activated at the highest-value moment in the calendar. That is not reactive. That is sequencing.

MARCUS: Diana, "deliberate pull-back" is a polite way of saying they lost the switching battle for three quarters and bought their way back in Q4. We can argue about intention all we want — the subscriber voted with their SIM card. And I will add one more number that does not get enough attention: bad debt. Subsidies do not just cost you in equipment gross loss — they cost you again when customers default on their device payment plans. AT&T's provision for credit losses hit $2.3 billion in 2025, which is 3.4 cents of every service revenue dollar gone to bad debt. That is the highest ratio of the three. T-Mobile's bad debt is rising — up 53% over two years to $1.4 billion — which is the cost of aggressive EIP financing behind all those net adds. The point is: the true cost of subsidy is equipment loss plus bad debt plus churn-driven re-acquisition. When you add it all up, the gap between T-Mobile and Verizon narrows. T-Mobile still wins on efficiency, but by less than the headline numbers suggest.

DIANA: Agreed on bad debt as a hidden cost — and notice that Verizon's credit loss provision has been essentially flat for three years at $2.3 billion despite growing its receivables base substantially through Frontier. Their credit underwriting